(c) Decrease in one asset and increase in another asset

Bought furniture costing ₹ 5,000 by paying cash

Effects: (i) Furniture comes in → Increase in asset

(ii) Cash goes out → Decrease in asset

Liabilities	=	Assets
Liabilities	=	Cash + Furniture
	=	(–) ₹ 5,000 (+) ₹ 5,000

(d) Decrease in one liability and increase in another liability

Accepted a bill drawn by creditors for ₹ 10,000

Effects: (i) Bills payable arises → Increase in liability

(ii) Reduction in creditors → Decrease in liability

Liabilities	=	Assets
+ Bills payable – Creditors	=	Assets
(+) ₹ 10,000 (–) ₹ 10,000	=	Assets

(e) Transactions affecting more than two accounts:

Goods costing ₹ 30,000 sold for ₹ 40,000

Effects: (i) Goods go out → Decrease in assets

(ii) Cash comes in → Increase in assets

(iii) Sold goods at a profit → Increase in capital

Liabilities + Capital	=	Assets
Capital	=	Cash – Stock
(+) ₹ 10,000	=	(+) ₹ 40,000 (–) ₹ 30,000

Illustration 1

Complete the missing items.

	Assets ₹ =	**Liabilities ₹ +**	**Capital ₹**
(a)	30,000	20,000	?
(b)	60,000	25,000	?
(c)	?	25,000	30,000
(d)	?	10,000	80,000
(e)	25,000	?	15,000
(f)	40,000	?	30,000

Solution

	Assets ₹ =	Liabilities ₹ +	Capital ₹
(a)	30,000	20,000	**10,000**
(b)	60,000	25,000	**35,000**
(c)	**55,000**	25,000	30,000
(d)	**90,000**	10,000	80,000
(e)	25,000	**10,000**	15,000
(f)	40,000	**10,000**	30,000

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